IFRS 15-REVENUE

Recognition of revenue (sales) from a contract with a customer

AC Ltd runs a business that sells building material and related products to customers.

AC Ltd uses the periodic inventory system.

On 3 April 2007, BB (Pty) Ltd electronically sent the following order to AC Ltd:

	$
5 000 bricks (type XX)	79 800
100 bags cement	6 840
14 m^3 building sand	684
	87 324

(Note: The prices at which the goods are ordered are in agreement with AC Ltd's price list and include VAT)

On 5 April 20.7 the goods were delivered to BB (Pty) Ltd's premises. The accompanying invoice, issued by AC Ltd, amount to R87 324 (including VAT) and is payable on or before 30 April 2007. Both parties to the contract are registered VAT vendors in accordance with the VAT Act.

BB (Pty) Ltd is a customer with an excellent payment record.

Required:

a) State the core principle of IFRS 15 for the recognition of revenue (sales) from a contract with a customer.

b) Provide the requirements that a contract with a customer must satisfy in accordance with

IFRS 15.

c) Recognise the revenue (sales) by applying the five step model of IFRS 15.

Note: Accept that the contract between the two parties satisfies the requirements of step 1.

Solution

a) Core principle of IFRS 15

The core principle of IFRS 15 is that an entity recognises revenue (sales or services rendered) to depict the transfer of promised goods (trade inventories) or services to customers at an amount that reflects the consideration to which the entity expects to be entitled in exchange for those goods or services. (IFRS 15.02)

b) The IFRS 15 requirements that a contract with a customer must satisfy

The requirements of IFRS 15 apply to each contract that has been agreed upon with a customer only when all of the following criteria are met:

- the parties to the contract have approved the contract (in writing or orally) and are committed to perform their respective obligations;
- the entity can identify each party's rights regarding the goods or services to be transferred;
- the entity can identify the payment terms for the goods or services to be transferred;
- the contract has commercial substance; and
- it is probable that the entity will collect the consideration to which it will be entitled in exchange for the goods or services that will be transferred to the customer.

c) Recognise the revenue (sales) in accordance with the five step model of IFRS 15

Step 1: Determine whether the contract satisfies the IFRS 15 requirements

The contract between AC Ltd and BB (Pty) Ltd satisfies the IFRS 15 requirements for a contract.

Step 2: Identify the performance obligation(s)

The promised goods in the contract are distinct since BB (Pty) Ltd can benefit from the bundle of goods together with other resources that are readily available to BB (Pty) Ltd. Consequently, the promise in the contract to deliver the bundle of goods is a performance obligation.

Step 3: Determine the transaction price

The transaction price is the amount of consideration that AC Ltd expects to receive in exchange for transferring promised goods, excluding VAT.

The transaction price is therefore $76 600 ($87 324 x 100/114).

Step 4: Allocate the transaction price to the identified performance obligation(s)

There is only one performance obligation. Consequently, the total transaction price, namely $76 600, is allocated to the performance obligation.

Step 5: Recognise revenue (sales) when the entity satisfies the performance obligation

AC Ltd delivered the promised goods to BB (Pty) Ltd on 5 April 2007. On this day, BB (Pty) Ltd obtained right of ownership and therefore control of the goods. The income from the transaction must be recognised as follows in AC Ltd's records on this date:

Journal entries

2007	Dr	Cr
5 Apr Receivable BB (Pty) Ltd (SFP)	87 324	
Sales (P/L)		76 600
VAT output (SFP)		10 724
Recognise sales		

Example 2: The contract with the customer contains a performance obligation to deliver a series of goods AC Ltd's current reporting period ends on 31 December 2007.

AC Ltd uses the periodic inventory system.

On 3 December 2007, AC Ltd entered into a written agreement with customer CC (Pty) Ltd. The contract contains inter alia the following stipulations:

• 120 units of product XT will be delivered to CC (Pty) Ltd's premises as follows:

- 40 units on 15 December 2007; and

- 80 units on 15 January 2008.

- The sales price of the 120 units is $342 000 (including VAT) and is payable on 31 January 2008.

Product XT's sales price per unit is not influenced by the sales volume. Product XT is a distinct product.

Both companies are registered as VAT vendors in accordance with the VAT Act. CC (Pty) Ltd has an excellent payment record.

Required:

Recognise the revenue (sales) by applying the five step model of IFRS 15.

Solution

Five step model of IFRS 15

Step 1: Determine whether the contract satisfies the IFRS 15 requirements

The contract between AC Ltd and CC (Pty) Ltd satisfies the IFRS 15 requirements for a contract as follows:

- AC Ltd and CC (Pty) Ltd approved the contract in writing and are committed to perform their respective obligations.
- AC Ltd can identify each party's rights regarding the goods to be transferred.
- AC Ltd can identify the payment terms for the goods to be transferred.

• The contract has commercial substance since the contract is expected to bring about the inflow of cash for AC Ltd.

• Since CC (Pty) Ltd, a customer with an excellent payment record, has the ability and intention to pay AC Ltd, it is probable that AC Ltd will collect the consideration on 31 January 2008.

Step 2: Identify the performance obligation(s)

The promised 120 units of product XT is distinct. The performance obligation is the promise in the contract to deliver 120 units of product XT and to deliver it in a series, namely to deliver

40 units of product XT on 15 December 20.7 and to deliver 80 units of product XT on 15 January 2008.

Step 3: Determine the transaction price

The transaction price is the amount of consideration that AC Ltd expects to receive in exchange for transferring promised goods, excluding VAT.

The transaction price is therefore $300 000 ($342 000 x 100/114).

Step 4: Allocate the transaction price to the identified performance obligation(s)

There is only one performance obligation. Consequently, the total transaction price, namely $300 000, is allocated to the performance obligation.

Step 5: Recognise revenue (sales) when the entity satisfies the performance obligation

The income item sales must be recognised by AC Ltd when AC Ltd satisfies the performance obligation over time by transferring the promised goods in a series to CC (Pty) Ltd. With the delivery of the goods in a series to CC (Pty) Ltd, the latter obtains right of ownership and therefore control of the goods as the goods are delivered.

The performance obligation is satisfied over time as follows:

• on 15 December 2007 with the delivery of 40 units of product XT; and

• on 15 January 2008 with the delivery of 80 units of product XT.

Since product XT's sales price per unit is not influenced by the number of units sold, the income from the transaction is recognised as follows in AC Ltd's records:

Journal Entries

2007	Dr	Cr
15 Dec Receivable CC (Pty) Ltd (SFP)	228 000	
Sales (P/L)		200 000
Vat output (SFP)		28 000

Recognise sale

Journal Entries

2008	Dr	Cr
15 Jan Receivable CC (Pty) Ltd (SFP)	114 000	
Sales (P/L)		100 000
Vat output (SFP)		14 000

Recognise sale

Since AC Ltd uses a periodic inventory system the cost of the 40 units will be included in the cost of sales for the year ended 31 December 2007 and the cost of the 80 units will be included in the cost of sales for the year ended 31 December 2008.

Example: Bill and hold arrangement

Delivery with the long hand (a bill and hold arrangement): the goods are, in accordance with the contract between the parties, put aside in the warehouse of the seller with the intention that right of ownership transfers and that delivery will take place at a later stage when requested by the customer.

On the date of designation/separation the seller must hold the right of ownership of the goods.

AR Ltd is a wholesaler that trades in building material. AR Ltd has an agreement with a number of selected customers that, should the customer prefer it, purchased building materials would not be delivered immediately to the purchaser's premises, but that the building material will be stored in AR Ltd's warehouse.

On 4 December 2007, JB (Pty) Ltd, one of AR Ltd's selected customers, placed an order with

AR Ltd for 100 000 bags of cement at $32 per bag. The 100 000 bags of cement was available for delivery on 4 December 20.7, but JB (Pty) Ltd requested that, due to current limited storage space, the bags of cement be delivered to its premises on 30 January 2008.

On 4 December 20.7, the 100 000 bags of cement were put aside in AR Ltd's warehouse as sold to JB (Pty) Ltd and a sales invoice of $3 648 000 (including VAT) was issued to JB (Pty) Ltd on this date. The invoice is payable on 4 February 2008. JB (Pty) Ltd's reason for purchasing such a big volume of cement is an expected shortage of cement during the first quarter of 2008.

AR Ltd's current reporting period ends on 31 December 2007. AR Ltd uses the periodic inventory system.

Required:

a) Recognise the revenue (sales) by applying the five step model of IFRS 15.

b) Journalise the transactions in the records (general journal) of AR Ltd.

Solution

a) Five step model of IFRS 15

Step 1: Determine whether the contract satisfies the IFRS 15 requirements

The contract between AR Ltd and JB (Pty) Ltd satisfies the IFRS 15 requirements for a contract as follows:

• AR Ltd and JB (Pty) Ltd approved the contract orally and are committed to perform their respective obligations.

• AR Ltd can identify each party's rights regarding the goods or services to be transferred.

• AR Ltd can identify the payment terms for the goods or services to be transferred.

• The contract has commercial substance since the contract is expected to bring about the inflow of cash for AR Ltd.

• Since JB (Pty) Ltd, a customer with an excellent payment record, has the ability and intention to pay AR Ltd, it is probable that AR Ltd will collect the consideration on 31 January 2008.

Step 2: Identify the performance obligation(s)

The promised goods in the contract are distinct since JB (Pty) Ltd can benefit from the cement

together with other resources that are readily available to JB (Pty) Ltd. Consequently, the promise in the contract to deliver the 100 000 bags cement is a performance obligation.

Step 3: Determine the transaction price

The transaction price is the amount of consideration that AR Ltd expects to receive in exchange for transferring promised goods, excluding VAT.

The transaction price is therefore $3 200 000 ($3 648 000 x 100/114).

Step 4: Allocate the transaction price to the identified performance obligation(s)

There is only one performance obligation. Consequently, the total transaction price, namely

$3 200 000, is allocated to the performance obligation.

Step 5: Recognise revenue (sales) when the entity satisfies the performance obligation

The income item sales must be recognised by AR Ltd when AR Ltd satisfies the performance

obligations by transferring the promised 100 000 bags cement to JB (Pty) Ltd. This transaction

entails a bill and hold arrangement. On 4 December 2007 the 100 000 bags cement was delivered with the long hand since it was put aside on this day on AR Ltd's premises as sold. On 4 December 2007,

JB (Pty) Ltd obtained right of ownership and therefore control of the 100 000 bags cement. (JB

(Pty) Ltd therefore has the ability to direct the use of the 100 000 bags cement and to obtain substantially all of the remaining benefits from the cement.) The performance obligation was therefore satisfied on this date.

The income from the transaction to the amount of $3 200 000 must be recognised in AR Ltd's records on 4 December 2007.

b) Journal entries – AR Ltd

Journal Entries

2007	Dr	Cr
4 Dec Receivable JB (Pty) Ltd (SFP)	3 648 000	
Sales (P/L)		3 200 000
VAT output (SFP)		448 000

Recognise bill and hold sales

Journal Entries

2008	Dr	Cr
4 Feb Bank (SFP)	3 648 000	
Receivable JB (Pty) Ltd (SFP)		3 648 000

Derecognise receivable due to payment

Example: Deposit received from a customer

If the selling entity receives an order for a specialised product which is not kept in stock due to the nature of the item, the seller may require the customer to make a payment when placing the order.

An amount (deposit) received from a customer before the seller has performed/delivered is debited against bank, but cannot be credited against sales since it does not satisfy the definition of income. Income from such transactions is recognised when delivery takes place. The deposit received is a liability to the seller and is consequently credited against the receivable's account. (VAT must be accounted for.)

On 14 December 2007, AC Ltd received an order from customer K for a number of units of a specialised item. Due to the nature of the item, AC Ltd does not keep stock of the item. AC Ltd has to order the number of units from the manufacturer and therefore expects customer K to pay the full amount, namely $342 000 (including VAT), to AC Ltd when placing the order.

(Customer K paid the amount over to AC Ltd on 14 December 2007.) On 12 January 2008, AC Ltd received the relevant goods from the manufacturer and on the same day delivered the goods to the premises of customer K.

AC Ltd's reporting period is 31 December. Both parties are registered as VAT vendors in accordance with the VAT Act.

Required:

a) Recognise the revenue (sales) by applying the five step model of IFRS 15 (accept that the contract between the parties satisfies the requirements of step 1).

b) Journalise the transactions in the records (general journal) of AC Ltd.

Solution

a) Recognise the revenue (sales) in accordance with the five step model of IFRS 15

Step 1: Determine whether the contract satisfies the IFRS 15 requirements

The contract between AC Ltd and customer K satisfies the IFRS 15 requirements for a contract.

Step 2: Identify the performance obligation(s)

The promised goods in the contract are distinct since customer K can benefit from the bundle of goods together with other resources that are readily available to customer K. Consequently, the promise in the contract to deliver the bundle of goods is a performance obligation.

Step 3: Determine the transaction price

The transaction price is the amount of consideration that AC Ltd expects to receive in exchange for transferring promised goods, excluding VAT.

The transaction price is therefore $300 000 ($342 000 x 100/114).

Step 4: Allocate the transaction price to the identified performance obligation(s)

There is only one performance obligation. Consequently, the total transaction price, namely

$300 000, is allocated to the performance obligation.

Step 5: Recognise revenue (sales) when the entity satisfies the performance obligation

AC Ltd delivered the promised goods to customer K on 12 January 2008. On this day, customer K obtained right of ownership and therefore control of the goods. The income from the transaction must be recognised in AC Ltd's records on this date.